Sales Performance Analysis & Revenue Optimisation (FY2024)

Business Analysis

Microsoft Excel

June 2026



Business Context.



Company Background

The Client is a mid-sized retail chain with 12 stores across the Northeast, Midwest, South, and West regions of the United States. The company sells products in six categories: Apparel, Electronics, Home & Garden, Beauty, Grocery, and Toys.

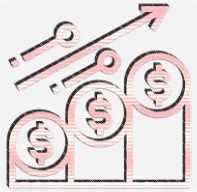
Although the company has achieved steady revenue growth through competitive pricing, promotions, and a loyalty programme, management has identified inconsistent store performance, declining margins in some categories, and uncertainty about the effectiveness of discounts and customer loyalty initiatives. This analysis aims to provide data-driven insights to improve profitability, optimise store performance, and strengthen customer retention.

The Problem

The Client is experiencing inconsistent sales performance across its regions and stores. Management is concerned about underperforming stores, the impact of discounting on profitability, variations in product category performance, uncertainty around return transactions, and the effectiveness of the loyalty programme.

Without a structured analysis of the sales data, management cannot accurately identify the causes of these issues or make informed strategic decisions. Therefore, a comprehensive sales performance analysis is required to support future business planning and improve overall performance.

Project Objectives.



Identify sales trends across regions and stores.



Evaluate category profitability.



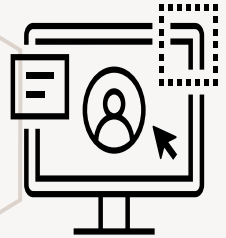
Assess discount effectiveness.



Measure customer loyalty performance.

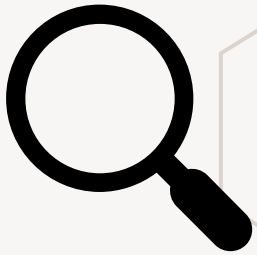


Investigate return patterns.



Develop an executive dashboard that communicates actionable business insights

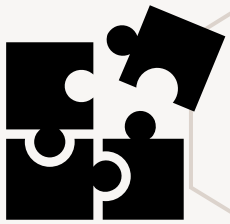
Our Role/Methodology



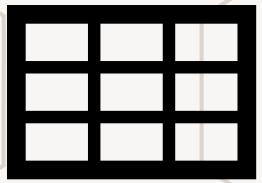
Assess Data Quality



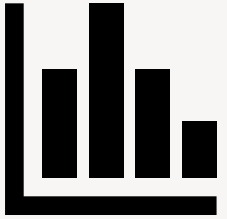
Clean and Validate Data



Enrich Data



Create Calculated Fields



Build Pivot Tables, Charts and Dashboard.

Data Quality Assessment.

- Missing Customer IDs and loyalty tier information in some records.
- Some cost values missing for certain products.
- Data inconsistencies in formats and text fields.

Sales Performance Analysis & Revenue Optimization

Total Net Sales

111467.05

Total Orders

720

Average Order Value

154.82

Gross Margin %

45%

Return Rate

3%

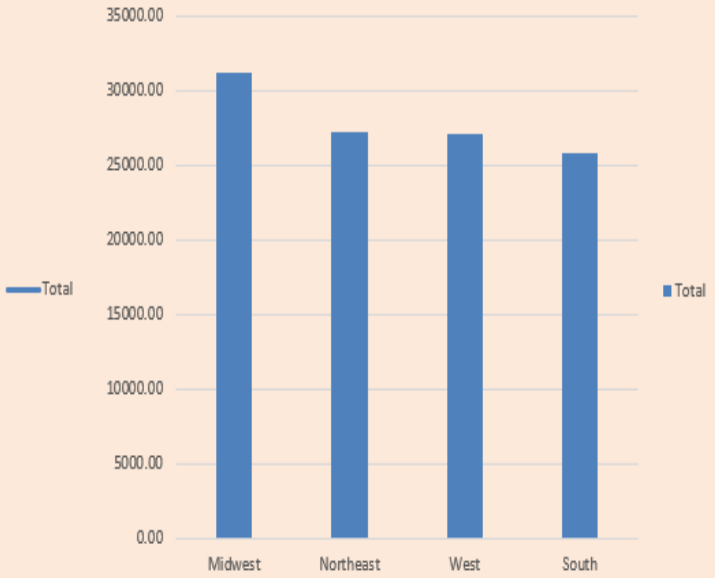
Average Discount %

0.08

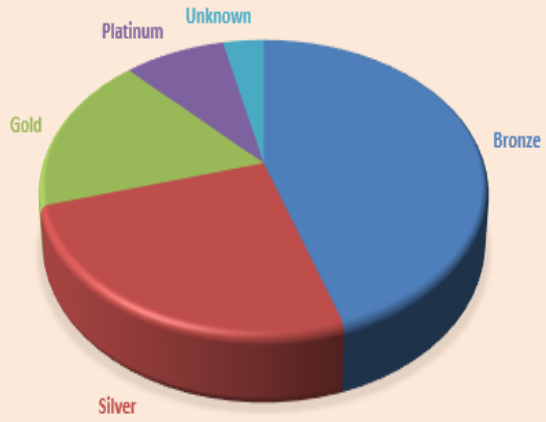
MONTHLY SALES TREND



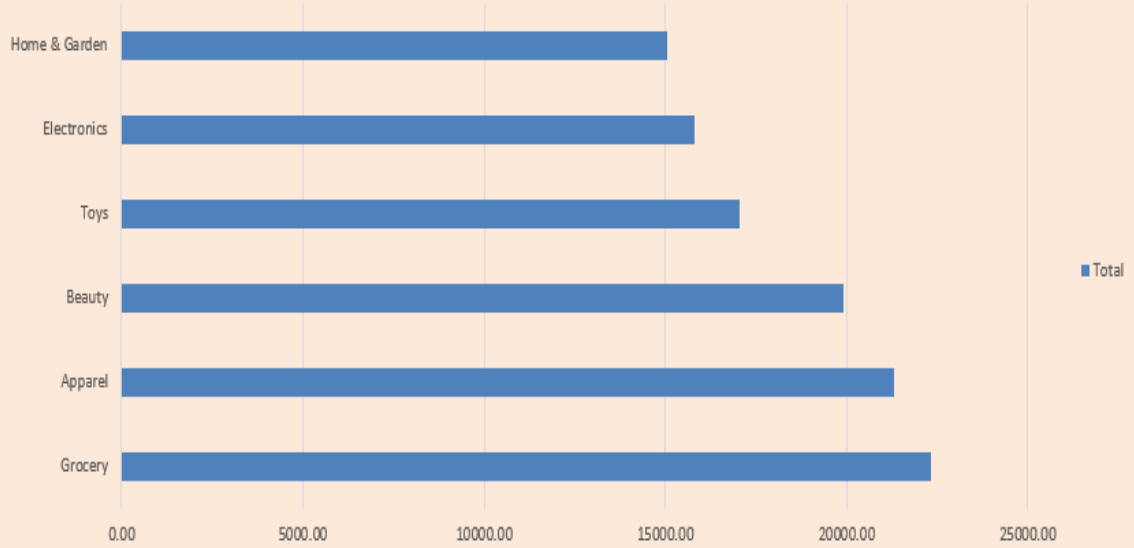
NET SALES BY REGION



LOYALTY TIER PERFORMANCE



NET SALES BY CATEGORY



Region

- Midwest
- Northeast
- South
- West

Order Date

All Periods MONTHS

2024

MAY JUN JUL AUG SEP OCT NOV DEC

Store ID

- STR-01
- STR-01
- STR-02
- STR-02
- STR-03
- STR-03
- STR-04
- STR-04
- STR-05
- STR-05
- STR-06
- STR-06
- STR-07
- STR-07

Dashboard Analysis

Executive Summary

The dashboard shows that **The Client** generated total net sales of **$111,467.05** from **720 orders**, resulting in an Average Order Value (AOV) of **$154.82**. The company maintains a **45%** gross margin, indicating healthy profitability, while the **3%** return rate suggests good product quality and customer satisfaction. However, sales fluctuate throughout the year, indicating opportunities for improving consistency.

Total Net Sales
Total net sales reached $111,467.05, indicating strong overall revenue after discounts. This reflects the company's overall sales performance during the reporting period.

Total Orders
A total of 720 orders were completed. This demonstrates healthy customer purchasing activity.

Average Order Value
The average customer spent $154.82 per order. This suggests customers are making reasonably valuable purchases.

Gross Margin %
The business achieved a 45% gross margin. This indicates strong profitability and effective cost management.

Return Rate
The return rate is 3%, which is relatively low. This suggests good product quality and high customer satisfaction.

Average Discount %
The average discount offered was 0.08%. This indicates discounts are being used moderately to encourage sales while maintaining profitability.

Dashboard Analysis Cont’d

Monthly Sales Trend

- Sales fluctuated throughout the year.
- **September** recorded the highest sales, while **May** experienced the lowest.
- Sales recovered towards the end of the year, indicating seasonal demand.

Net Sales by Region

- The **Midwest** generated the highest sales.
- The **South** recorded the lowest sales among all regions.
- Regional performance varies, highlighting opportunities for targeted improvement.

Net Sales by Category

- **Grocery** is the highest-performing product category.
- **Home & Garden** generated the lowest sales.
- High-performing categories contribute significantly to overall revenue.

Dashboard Analysis Cont’d

Loyalty Tier Performance

- Most customers belong to the **Bronze** loyalty tier.
- **Silver** is the second-largest group, while **Platinum** has the fewest customers.
- There is an opportunity to move more customers into higher loyalty tiers to increase repeat purchases.

Overall Conclusion

The Client demonstrates **strong financial health**, supported by a **45% gross margin**, **low return rate**, and **solid average order value**. The **Midwest region** and **Grocery/Apparel categories** are the primary drivers of revenue, while **September** is the strongest sales month.
The main opportunities for growth lie in addressing **seasonal sales dips (especially May)**, improving performance in the **South region**, strengthening **Home & Garden** sales, and converting more **Bronze-tier customers** into higher-value loyalty tiers. By focusing on these areas, **The Client** can achieve more consistent sales growth and further optimize revenue.

Key Analytical Questions

	Answers
Sales Performance	
1. Which region generated the highest Net Sales?	**Midwest**
2. Which region generated the lowest Net Sales?	**South**
Product Profitability	
3. Which product category achieved the highest Gross Margin %?	**Apparel**
4. Which category delivered the lowest Gross Margin %?	**Toys**
Discount Analysis	
5. What is the average discount offered across transactions?	**0.08**
6. How do discounted transactions compare to non-discounted transactions in terms of Net Sales?	**Non-discounted transactions generated more Net Sales when compared to discounted transactions**
Store Performance	
7. Which stores are underperforming relative to the chain average?	**?**
8. Which stores generate the highest Net Sales per square foot?	**?**
Customer Analytics	
9. Do Gold and Platinum loyalty customers generate higher Average Order Value than Bronze and Silver customers?	**No**
Sales Trends	
10. What are the month-over-month sales trends?	**Month-over-month sales fluctuated throughout the year, peaking in September, dropping to the lowest point in May, and recovering again in December.**
11. Are there seasonal peaks or dips?	**Yes**
Returns Analysis	
12. What is the overall return rate?	**3%**
13. Which categories experience the highest return rates?	**Grocery**

Recommendations.

Improve Performance in Underperforming Regions and Stores	Review Discounting Strategy	Strengthen the Customer Loyalty Programme	Improve Data Quality and Governance	Adopt Data-Driven Performance Monitoring
Management should investigate stores and regions with lower Net Sales to identify the underlying causes of poor performance. Factors such as local market conditions, staffing, inventory availability, and marketing effectiveness should be reviewed to develop targeted improvement strategies.	The Client should regularly evaluate the impact of discounts on sales performance and profitability. Discounts should be used strategically to drive sales without unnecessarily reducing profit margins, and future analyses should compare promotional revenue with associated costs.	The Client should continue investing in customer retention initiatives. Personalised promotions, exclusive rewards, and targeted marketing campaigns could encourage repeat purchases and increase customer lifetime value.	The Client should enhance its data collection processes, and maintaining accurate product cost information. Regular data validation and standardised data entry procedures will improve the accuracy and reliability of future analyses.	The Client should implement a system that is updated regularly to monitor key performance indicators such as Sales, Regional performance, and Customer loyalty. This will enable management to identify trends, respond quickly to performance issues, and make informed strategic decisions based on reliable data.

LIMITATIONS

- Missing cost values and customer information.
- Findings are based on available data and may not reflect full business reality.



While data quality limitations affected some analysis, the available data provided valuable evidence to support strategic decision-making.

Thank you

Hope to get Feedback.